

BROADCOM INC.

(NASDAQ: AVGO)

The \$73 billion backlog is real — and at this price, fully priced

REDUCE — \$235.00 Target

Equity Research Note · Technology — Semiconductors & Infrastructure Software · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$235.00	\$355.14	-33.8%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$1.70 tn (4.77 bn sh × \$355.14)	FQ3 FY26 revenue	\$29.59 bn (+86% YoY)
52-week range	~\$290 – \$495	AI semiconductor revenue (FQ3)	\$16.7 bn (+221% YoY)
Price / fair value	\$355.14 / \$235.00	Committed AI backlog	~\$73 bn (company-disclosed, ~18 months)
Implied downside	–33.9%	Next catalyst	FQ4 FY26 earnings (early December)
Enterprise value / net debt	~\$1.73 tn / ~\$35.4 bn	Sell-side view	Buy; average target ~\$527

1 Investment Thesis

Broadcom's AI-exposed revenue — custom AI accelerators (XPUs) plus AI networking — qualifies for the hypergrowth-regime valuation framework this note uses: verifiable demand evidence, not narrative. Management discloses a committed AI backlog of about \$73 billion, scheduled for delivery over roughly 18 months — more than 12 months of guided FY2026 AI revenue (~\$58B). And hyperscaler capex commitments name the category explicitly: Google's TPU partnership running through 2031; Meta co-developing multiple MTIA generations with more than a gigawatt of custom silicon to start; Anthropic scaling from 1 gigawatt of Broadcom-designed silicon in 2026 to 5 gigawatts in 2027 with line of sight to ten more in 2028; OpenAI's first custom chip, unveiled with Broadcom in June 2026, deploying by end of year. So years 1–3 of the AI segment run at or near management guidance in this note: FY2027 AI revenue of about \$105B against management's line of sight to in excess of \$100 billion, with no mechanical haircut.

But the framework cuts both ways, and the market only prices one edge of it. Skepticism concentrates where it belongs: in supercycle duration and post-cycle fade. The \$73B backlog and the gigawatt-scale commitments underwrite FY2027–FY2029 — they do not underwrite FY2035. After the supercycle, AI silicon is still silicon: in our base case AI-segment free-cash-flow margins compress from a ~45% peak to 38% through-cycle, and AI revenue growth fades to low-single digits by the early 2030s. The bear case models what this business structure demands — an abrupt cliff: book-to-bill collapsing, double-ordered XPUs being digested, a scale-back by the marginal customer (Anthropic), because custom AI silicon has no secondary market and no merchant outlet. There is no graceful mean-reversion for a six-customer franchise.

One guardrail matters enormously: the hypergrowth treatment applies only to the AI-exposed segment (~\$58B of FY2026 revenue). VMware — infrastructure software at a ~\$29B run-rate, roughly a third of revenue — and the non-AI semiconductor lines are valued on standard 5%-ish growth with stable ~40% FCF margins. The headline AI numbers must not leak into the whole base. Run that way, the three scenarios are \$69 / \$234 / \$402, weighted (25/50/25) to \$235 — 33.9% below the \$355.14 quote. Even with years 1–3 at guidance and a six-year bull runway, the price

embeds a longer, fatter supercycle than the evidence supports. The \$73B backlog is real. It is also, at this price, fully priced — the market is valuing it as if it were perpetual. REDUCE.

Why the market will care (eventually)

- **The demand evidence is the strongest of any AI-infrastructure name we cover — and it has an expiry date.** A \$73B committed backlog, six confirmed hyperscale XPU customers, and multi-generation co-development engagements are contracted engineering revenue with 18 months of visibility. That underwrites the ramp, not the decade: \$73B over 18 months is ~2.5 quarters of FY2027 guided revenue.
- **Concentration is the load-bearing assumption.** The path from ~\$58B to \$100B+ of AI revenue runs through six customers, and the marginal one is Anthropic — a private company the holder cannot own and cannot diligence. Broadcom's own filings flag dependence on a limited number of significant customers.
- **VMware is the ballast that makes the cyclicity ownable.** ~\$29B run-rate software at ~78% operating margins funds the dividend, the deleveraging, and the R&D for the next XPU generation. The AI story gets the multiple; VMware pays for the optionality — and it gets no hypergrowth treatment, by rule.

2 Business Overview — What Broadcom Is Doing

(Palo Alto, California; CEO Hock Tan)

Broadcom reports two segments. Semiconductor Solutions (about two-thirds of revenue) spans custom AI accelerators (XPUs) co-designed with hyperscalers, AI Ethernet switching and routing (Tomahawk, Jericho), broadband, wireless connectivity, and storage/networking chips. Infrastructure Software is VMware — virtualization, private cloud, and mainframe/security software — acquired for \$69B in November 2023 and converted to a subscription model at materially higher prices. This note values them separately: the semiconductor segment is split again into an AI-exposed portion (~\$58B FY2026), which gets the hypergrowth-regime treatment, and a non-AI portion (~\$48B including VMware), which does not.

The AI franchise works like this: a hyperscaler brings a model architecture and a scale target; Broadcom co-designs the accelerator, the interconnect, and increasingly the rack-scale networking around it; TSMC fabricates; the customer commits to multi-generation roadmaps. Six such engagements are confirmed: Google (seven TPU generations, currently Ironwood, partnership through 2031), Meta (MTIA training and inference, >1GW to start), OpenAI (inference chip, deploying end-2026), Anthropic (1GW in 2026, 5GW in 2027, line of sight to 10 more in 2028 — set to become the largest XPU customer in 2027), ByteDance, and Fujitsu. The economics are exceptional while the cycle runs — ~45% FCF margins at peak — because the R&D is amortized over gigawatt-scale deployments and the customer funds the roadmap certainty.

VMware, the second business, did \$7.2B in FQ2 FY2026 (32% of revenue) at ~78% operating margins. The controversial post-acquisition price increases are largely through the base; growth has slowed to high single digits as the perpetual-to-subscription transition completes in late 2026.

What the company is doing now

- **Custom XPUs: six customers, gigawatt scale.** Co-designed accelerators for Google, Meta, OpenAI, Anthropic, ByteDance, and Fujitsu. Third-party estimates put Broadcom at ~60% of the custom AI ASIC market by 2027. TCO 30–50% lower than GPUs for fixed hyperscale workloads — against total inflexibility if model architectures shift.
- **AI networking: the stickiest layer.** Tomahawk 6 and the AI Ethernet switch backlog (over \$10B) ride the same capex wave with less architectural risk than any single accelerator generation; the industry's migration toward open Ethernet standards is the structural tailwind.
- **VMware: the annuity.** ~\$29B run-rate infrastructure software at ~78% operating margins. The perpetual-to-subscription transition completes in late 2026; growth has slowed to high single digits — valued on standard growth, no hypergrowth treatment.
- **TSMC is the bottleneck Broadcom doesn't control.** Management says foundry capacity is constrained into next year. A large share of guided revenue is booked and waiting on foundry supply to convert on schedule.

3 Financial Analysis

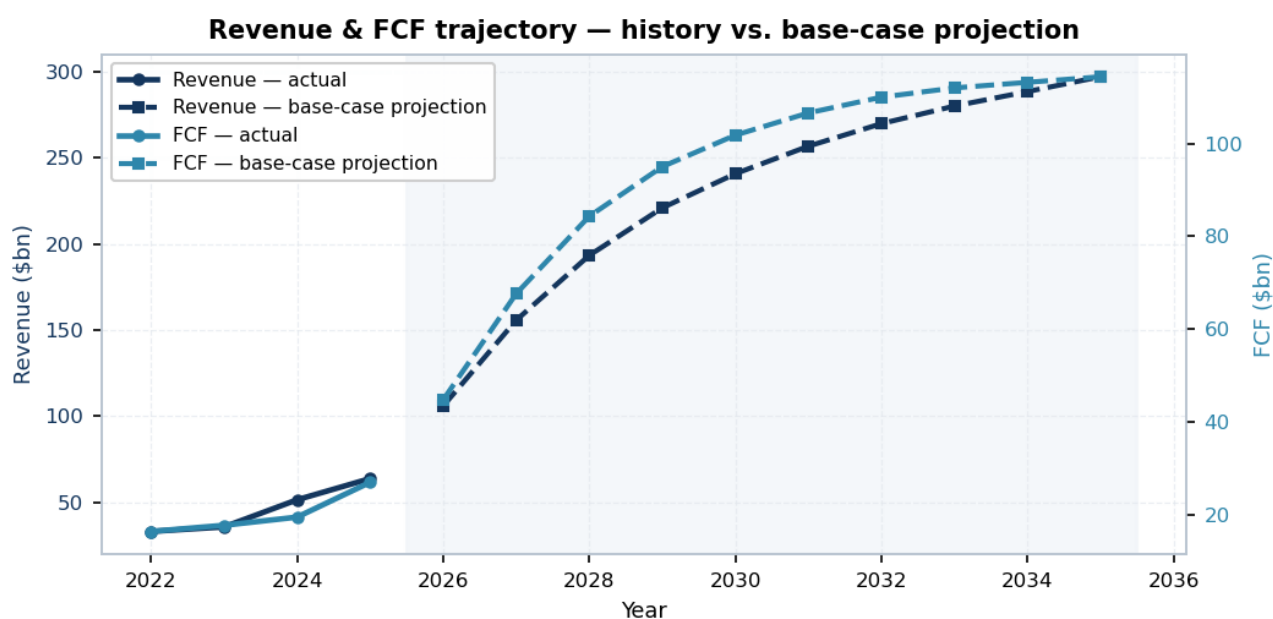
\$bn	FY2023	FY2024	FY2025	FQ3 FY26
Revenue	35.8	51.6	63.9	29.6
AI semiconductor revenue	—	—	—	16.7
Free cash flow (OCF – capex)	17.6	19.4	26.9	—
Committed AI backlog	—	—	—	~73
Gross debt / cash	—	—	—	~59 / ~24

Annual figures from company filings via Yahoo Finance (fiscal years end Oct/Nov). Quarterly figures from the FQ3 FY2026 release (September 2026). — = not disclosed in that period.

FQ3 FY2026 revenue was \$29.59 billion (+86% YoY) with AI semiconductor revenue of \$16.7 billion (+221%) — operating costs barely moved on the ramp, the operating leverage of the custom-silicon model showing through. Annual revenue grew from \$35.8 billion in FY2023 to \$63.9 billion in FY2025, with free cash flow (operating cash flow less capex) of \$26.9 billion in FY2025. The balance sheet carries ~\$59 billion of gross debt against ~\$24 billion of cash (\$35.4 billion net debt); the VMware acquisition's amortization still depresses GAAP earnings, so the multiple debate is permanently fought on non-GAAP figures.

The scenario DCF splits the firm in two. The AI segment (~\$57.6B FY2026) runs the hypergrowth-regime framework: years 1–3 at/near guidance, all skepticism in duration and fade, terminal on through-cycle AI-segment FCF margins of 30%/38%/40% (never the ~45% peak). The non-AI segment (~\$48.4B) grows at –1%/+5%/+7% across scenarios at stable ~40% FCF margins. Equity is firm EV minus \$35.4B net debt over 4.7736B diluted shares. Terminal value is 52% of base-case EV (no haircut required); 62% in the bull, 30% in the bear. Cross-check: 15x FY2028E non-GAAP EPS on trough-cycle earnings implies ~\$210; the DCF sits above it because the DCF owns the supercycle cash flows directly rather than capitalizing a single year's earnings.

Revenue & cash-flow trajectory



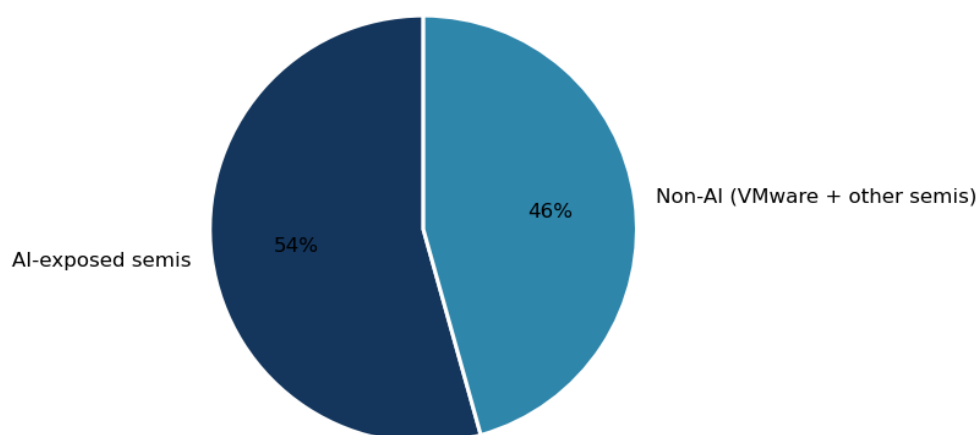
History: company filings via Yahoo Finance (fiscal years; FCF = operating cash flow less capex). Projection: base-case model series FY2026E–FY2035 (firm revenue and free cash flow; AI segment ~54% of FY2026 revenue, ~60% of FY2035).

4 Moat & Competition

- **Co-design entrenchment with six hyperscalers.** Multi-generation XPU roadmaps (Google through 2031, Meta MTIA, Anthropic to 10GW) are engineering partnerships, not chip purchases — switching costs are measured in years and gigawatts.
- **AI Ethernet: the defensible layer.** Tomahawk 6 at 102.4 Tbps and a \$10B+ AI Ethernet backlog ride the industry's migration to open standards — less architectural risk than any single accelerator generation, compounding across cycles.
- **VMware switching costs fund the optionality.** The controversial price increases monetize deep enterprise entrenchment; the ~78%-margin annuity funds dividends, deleveraging, and next-generation XPU R&D.
- **The moat's limits: concentration and inflexibility.** Six customers, one foundry (TSMC), and silicon that cannot be repurposed if architectures shift — the customer owns the roadmap, Broadcom owns the execution risk. Marvell trails by a generation, but NVIDIA's CUDA ecosystem is the permanent alternative.

FY2026E revenue: AI-exposed vs. non-AI (~\$106 bn)

FY2026E revenue: AI-exposed vs. non-AI (~\$106 bn)



5 Valuation — Segmented 10-year scenario DCF (hypergrowth-regime framework), Fair Value \$235

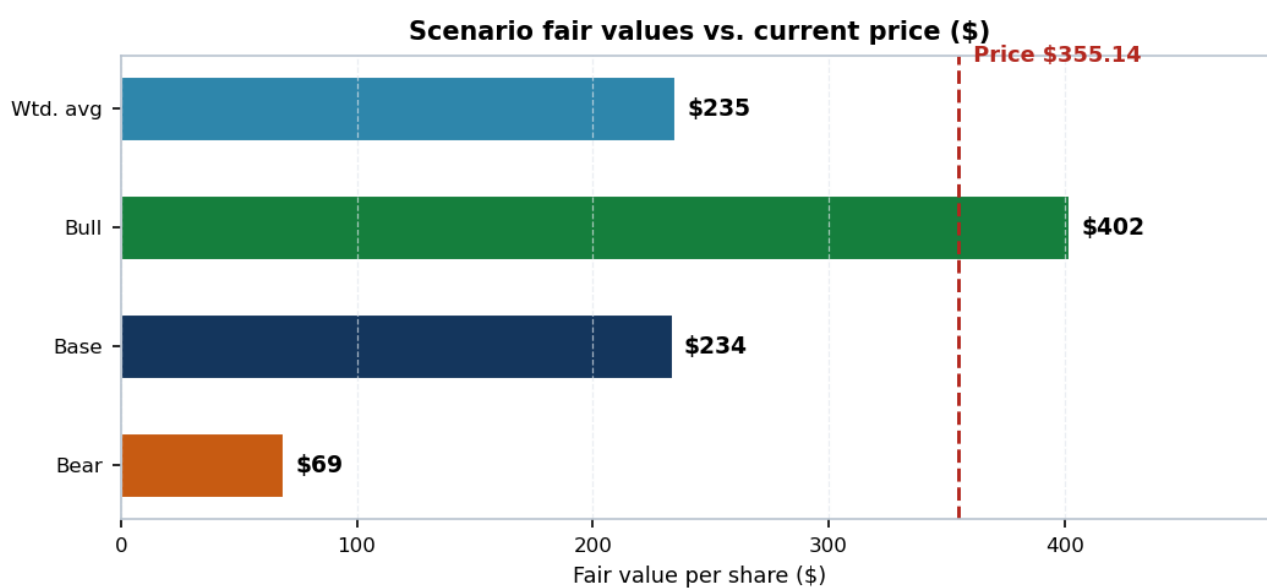
We value Broadcom on a segmented 10-year scenario DCF (FY2026E–FY2035), weighted 25% / 50% / 25%. The AI-exposed segment (~\$57.6B of FY2026 revenue) runs under the hypergrowth-regime framework: it qualifies on verifiable demand evidence (committed ~\$73B backlog covering 12+ months of guided revenue; named hyperscaler capex commitments), so years 1–3 run at or near guidance with no mechanical haircut, and all skepticism is loaded into supercycle duration and post-cycle margin fade. The non-AI segment (~\$48.4B: VMware plus non-AI semis) grows at –1%/+5%/+7% across scenarios at stable ~40% FCF margins — no hypergrowth treatment, by rule.

Discounts: base 10% (beta 1.46, semi cyclicity, six-customer AI concentration, \$59B of gross debt — but 46% FCF margins and a VMware annuity keep it out of the speculative tier), bear 12.5% (base + 250bp), bull 8.5% (base – 150bp). Terminal growth is 1.0%/2.5%/2.5% on year-10 FCF at through-cycle margins (AI segment 30%/38%/40% — never the ~45% peak). Equity is firm EV minus \$35.4B of net debt, over 4.7736B diluted shares. Scenario fair values: \$69 / \$234 / \$402, weighting to \$234.75 — our \$235 target, 33.9% below the \$355.14 quote. The net effect of the framework is a fair value essentially unchanged from a standard disciplined DCF — because the evidence supports the ramp but not the perpetuity the price implies.

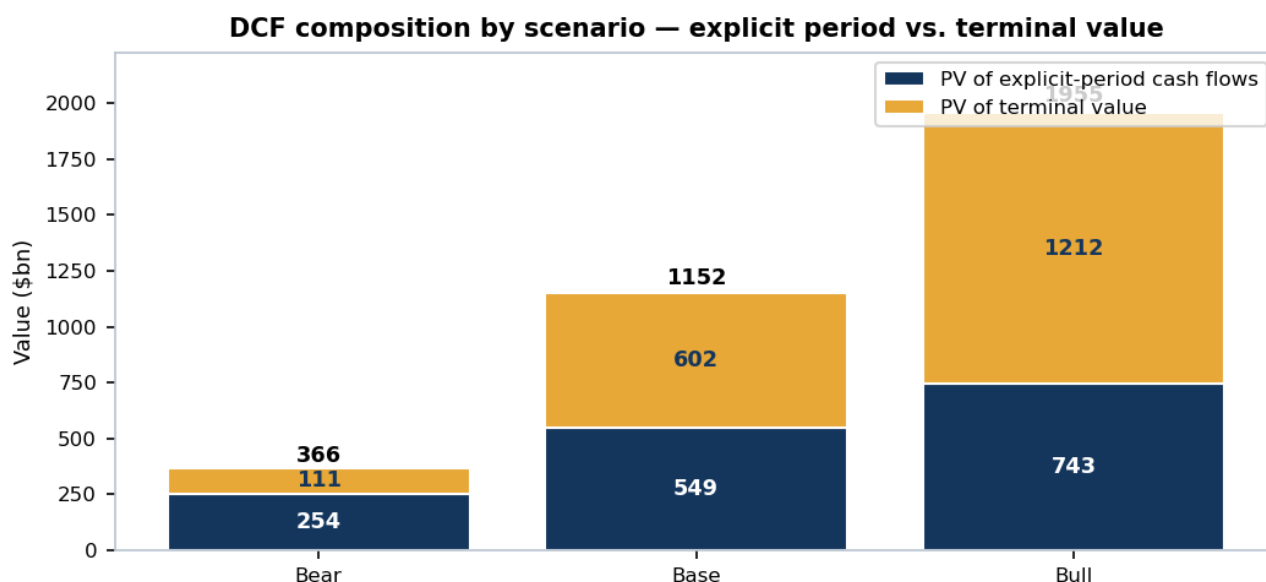
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Hypergrowth ends abruptly mid-FY27: book-to-bill collapse, double-ordered XPU digestion FY28–29, Anthropic scale-back; AI-segment FCF margins compress 44% → 30%; terminal derated to 1.0%.	+1.6%	34%	12.5% / 1.0%	30%	\$69.20
Base	Hypergrowth FY27–29 (backlog + gigawatt commitments), fade FY30–32 as custom-silicon mix normalizes; AI revenue \$105B → \$140B → \$165B; through-cycle AI FCF margins 38%.	+12.1%	39%	10.0% / 2.5%	52%	\$233.90
Bull	Six-year runway FY27–32: Anthropic 10GW line-of-sight converts, a 7th customer qualifies, TPU-through-2031 compounds; AI-segment FCF margins 40% through-cycle.	+15.9%	40%	8.5% / 2.5%	62%	\$402.10
Wtd. avg	Probability-weighted (25/50/25) → \$235.00 target					\$235.00

Firm-level FCF margins at year 10; AI-segment through-cycle margins are 30%/38%/40% (never the ~45% peak). Equity = firm EV – \$35.4B net debt, over 4.7736B diluted shares.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Customer concentration (the #1 risk).** Six XPU customers; the marginal growth engine is Anthropic, a private company. A single program cancellation or architecture pivot removes tens of billions of forward revenue with no merchant offset.
- **TSMC capacity.** Broadcom doesn't fabricate. Capacity constrained into next year; guided revenue is booked but not yet converted.
- **Architecture inflexibility.** An XPU optimized for today's models cannot be repurposed. The customer owns the roadmap; Broadcom owns the execution risk.
- **VMware pricing exhaustion.** The perpetual-to-subscription transition completes in late 2026; software growth has slowed to high single digits. Further price increases risk accelerating defections to Nutanix or public cloud.
- **AI-capex digestion.** Hyperscaler capex is at historic highs; any pause — rates, power constraints, ROI questions — hits custom silicon first, the most discretionary layer of the stack.
- **Leverage and the non-GAAP gap.** \$59B of gross debt; GAAP earnings remain depressed by acquisition amortization, so the valuation debate is permanently fought on adjusted numbers.

What would change our mind

The hypergrowth framework behind this valuation is revoked for the AI segment — fair value falling toward ~\$190 on standard growth treatment — if book-to-bill falls below 1.0 for two consecutive quarters or lead times normalize with no replacement bottleneck (TSMC constraint clears). The REDUCE itself is falsified upward if Anthropic's 10GW line-of-sight converts to firm multi-year purchase commitments with TSMC capacity resolved — that extends the bull duration and reprices the weighted average toward \$300+. We watch: book-to-bill and lead-time commentary each quarter, Anthropic's gigawatt conversion milestones, TSMC capacity statements, VMware's post-transition growth rate, and any seventh qualifying XPU customer.

7 Methodology

We value Broadcom on a segmented 10-year scenario discounted-cash-flow framework (FY2026E–FY2035), probability-weighted 25% / 50% / 25%. The AI-exposed semiconductor segment is valued under a hypergrowth-regime

framework: it qualifies only on verifiable demand evidence (committed backlog covering 12+ months of guided revenue; named hyperscaler capex commitments), in which case years 1–3 run at or near guidance with no mechanical haircut and all skepticism is formalized as explicit supercycle-duration assumptions and post-cycle margin compression per scenario. The non-AI segment (VMware plus non-AI semis) receives no hypergrowth treatment, by rule.

Discount rates are scenario-specific: base 10%, bear 12.5% (base + 250bp), bull 8.5% (base – 150bp). Terminal growth is 1.0%/2.5%/2.5%, applied to year-10 free cash flow at through-cycle margins — never peak margins. The bear case is required to be genuinely adverse and to sit below the current price; terminal value exceeding 70% of enterprise value is haircut and disclosed (52% base, 62% bull, 30% bear — no haircut required).

We cross-check the DCF against trough-cycle earnings multiples and reverse-DCF implied growth. The published target is the probability-weighted fair value, stated as a 12-month horizon reference. Risk ratings (Low / Medium / Medium-High / High) combine business volatility, balance-sheet strength, and valuation; Medium-High here reflects six-customer concentration and foundry dependence against a genuine contracted backlog.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.